Response to Referee R2

We thank the editor and referees for their continued engagement with our paper. Below we provide a brief summary of the main changes in this revision and then respond to each comment in turn.

- **Stock-return analysis.** Following R2's suggestion, the stock market evidence now appears in a dedicated table and four event-study figures. New Table 1 reports, for every main event window (the Joint Resolution, the November 1934 certiorari grant and midterm election, the Supreme Court oral arguments and post-argument days, and the decision, plus the full May 1933–February 1935 episode), the cumulative returns of equal-weighted gold-exposed and non-exposed portfolios—pooled and within size terciles formed on end-1932 market capitalization—together with raw and beta-adjusted gold-minus-non-gold differentials and t-statistics. Internet Appendix Figures IA.2–IA.5 plot the four underlying return series (the value-weighted market, the two equal-weighted portfolios, and the gold-exposure-weighted portfolio) around each event. Over the Joint Resolution window, gold-exposed firms returned 30.9% against 25.4% for non-exposed firms, a differential of +5.5 percentage points ($t \approx 3.0$). A new Internet Appendix section examines every intermediate judicial event of the litigation (the first hearing, the lower-court rulings, and the first certiorari grant) in the same format (Table IA.20); none produced a significant differential. The same examination surfaced a significant differential in the November 1934 window, in which the second certiorari grant coincided with the midterm election; we now include this window among the main events (Table 1, Section 3, and Internet Appendix Figure IA.3).

- **Robustness with the full set of fixed effects.** Following R6's request, new Internet Appendix Table IA.19 re-estimates columns 2–10 of Table 7 with industry-year fixed effects, so that every characteristic-control specification is also shown with the full fixed-effect structure. For $1933 \times \tilde{d}$ the estimates are essentially unchanged and remain significant (at the 5% level in seven of nine specifications, 10% in all nine); for $1934 \times \tilde{d}$ significance is lost in seven of nine columns, mainly through attenuation of the point estimates rather than wider standard errors, with no sign reversals. Section 5 now states this by year and notes that the attenuation appears only when characteristic-period controls are stacked on top of industry-year cells.

- **Limitations of the exposure measure.** Section 5.5 now contains an explicit limitations paragraph acknowledging that, because virtually all corporate bonds of the era carried gold clauses while preferred shares carried none, our exposure measure is necessarily entangled with the composition of a firm's fixed claims, and that our placebo and control strategies mitigate but cannot fully eliminate this concern.

- **Pre-trends and event-time patterns.** Section 5.2 now acknowledges directly that, given the width of the confidence intervals around individual year estimates, the litigation-year coefficients cannot be statistically distinguished from individual pre-treatment estimates such as the 1930 coefficient, and clarifies that the support for the parallel-trends assumption rests on the full pre-treatment pattern.

- **Liberty bond discussion.** We have revised the historical background section to clarify why Liberty Bond prices rose during the Supreme Court arguments in January 1935. Since Liberty Bonds were gold-denominated government obligations, a government loss would have obligated the Treasury to honor gold payments at the then-prevailing price of $35 per ounce—69% above the pre-abrogation level—increasing the real value of the bonds to holders. We have also added the missing *New York Times* citation.

Corrections identified while rebuilding the replication code. As part of this revision we rebuilt the paper's replication code end to end, so that every table and figure regenerates from the raw data. This exercise surfaced two issues in Table 4 of the previous draft, which we have corrected; neither affects any result the paper relies on, and we report both columns before and after the corrections below for completeness. First, the note to column 5 misdescribed the specification: the column uses an alternative exposure measure that scales gold-clause debt by the firm's total fixed claims (bank debt, bonds, and preferred shares), rather than the baseline $\tilde{d}$ on a restricted sample. The column header, the table note, and the corresponding text in Section 5 now describe the specification correctly; the estimates are unchanged except for one standard error in the third decimal. Second, the "no redemption" sample of column 4 (and of Internet Appendix Table IA.12, column 1) inadvertently excluded 37 unexposed firms that lacked a prior-year observation during 1931–1935, an artifact of missing-value handling in the original code; the revised sample excludes only the 90 firms that retired their gold-clause debt during the litigation window. The only significance change is that the marginally significant $1928 \times \tilde{d}$ interaction in column 4 loses its 10% star.

	Column 4 (No redemption)		Column 5 (Fixed claims)	
	Round 1	Revised	Round 1	Revised
Q	0.085***	0.086***	0.123***	0.123***
	(0.015)	(0.014)	(0.022)	(0.022)
$\tilde{d}$	-0.097**	-0.094**	-0.057*	-0.057*
	(0.033)	(0.034)	(0.030)	(0.030)
1926 × $\tilde{d}$	0.057**	0.061**	0.033	0.033
	(0.021)	(0.022)	(0.026)	(0.026)
1927 × $\tilde{d}$	0.026	0.010	0.043	0.043
	(0.028)	(0.030)	(0.031)	(0.031)
1928 × $\tilde{d}$	0.061*	0.039	0.020	0.020
	(0.030)	(0.031)	(0.028)	(0.028)
1929 × $\tilde{d}$	0.046	0.040	0.005	0.005
	(0.029)	(0.029)	(0.025)	(0.025)
1930 × $\tilde{d}$	-0.018	-0.024	-0.038	-0.038
	(0.022)	(0.022)	(0.024)	(0.024)
1931 × $\tilde{d}$	0.004	0.004	-0.015	-0.015
	(0.014)	(0.014)	(0.014)	(0.014)
1933 × $\tilde{d}$	-0.068***	-0.064***	-0.058***	-0.058***
	(0.013)	(0.013)	(0.013)	(0.014)
1934 × $\tilde{d}$	-0.032***	-0.036***	-0.043***	-0.043***
	(0.011)	(0.010)	(0.009)	(0.009)
1935 × $\tilde{d}$	0.025**	0.027**	0.018**	0.018**
	(0.010)	(0.010)	(0.008)	(0.008)
1936 × $\tilde{d}$	0.001	0.006	-0.011	-0.011
	(0.012)	(0.011)	(0.012)	(0.012)
1937 × $\tilde{d}$	0.015	0.005	-0.007	-0.007
	(0.016)	(0.016)	(0.017)	(0.017)
1938 × $\tilde{d}$	0.000	0.009	-0.006	-0.006
	(0.019)	(0.019)	(0.019)	(0.019)
1939 × $\tilde{d}$	-0.021	-0.025	-0.034*	-0.034*
	(0.015)	(0.016)	(0.017)	(0.017)
1940 × $\tilde{d}$	-0.005	-0.013	-0.013	-0.013
	(0.016)	(0.016)	(0.016)	(0.016)
R^2	0.221	0.224	0.252	0.252
Observations	5,572	5,918	6,048	6,048

The rebuild surfaced three smaller corrections in the same category. First, the standard errors in column 7 of Table 4 (the bank-debt placebo) were inadvertently clustered by firm only in the previous draft; they are now two-way clustered by firm and year, like every other column. The coefficients are unchanged; two pre-period placebo interactions become significant at conventional levels, and the litigation-year cells remain insignificant. Second, the stock-return series in Section 3 are now built directly from CRSP daily returns; the previous draft's figures came from an intermediate spreadsheet extract that contained an error (the Joint Resolution returns, for example, change from 11.7% and 27.2% to 12.1% and 31.4%), and the post-argument window is now defined by the documented press dates (January 11–17, 1935). Table 1 and the event figures reflect the corrected series. Third, the firm count and summary statistics in Panel C of Table 2 have been corrected (503 firms rather than 594). None of these corrections affects any result the paper relies on.

That said, I think there is one larger issue outstanding. The authors reference the portfolio returns (stock market responses) to various legal developments in section 3 (page 10). This analysis is insightful but not well-explained. In my opinion, the return analysis deserves a table and more detail on the data and summary statistics, some of which can be provided in the appendix. A figure might help too. Consider time series of (cumulative) returns for a) the market, b) firms with gold exposure (unweighted), firms with gold exposure (Weighted as indicated in footnote 10) and d) firms without gold exposure. Such a figure with "event lines" (joint resolution, first lawsuits, potentially lower court rulings, start of Supreme Court arguments (poor government showing), Supreme Court decision) would visualize the argument of the authors. I could also see the return analysis in a regression framework. The point here is that illustrate that market clearly responded to relevant events around the abrogation supporting the key identification argument of the authors.

Thank you for this suggestion. We have added four event-study figures (Internet Appendix Figures IA.2–IA.5, following the referee's suggestion that some of this material can be provided in the appendix), each plotting exactly the four series the referee lists—the CRSP value-weighted market, equal-weighted portfolios of firms with and without gold-clause exposure, and the gold-exposure-weighted portfolio of footnote 10 of the previous draft—all constructed from CRSP daily returns. The table below reports the cumulative returns of these four series over each event window, exactly as the referee requested. In the paper itself, Table 1 adopts the representation we ultimately favor: gold-minus-non-gold differentials, raw and beta-adjusted, with t-statistics that scale each differential by its daily variability over the pre-abrogation period (July 1926–December 1932), pooled and within size terciles, for every main event window. Internet Appendix Table IA.20 applies the same format to every intermediate litigation event. We explain below how the evidence led us to that representation. The central result is the Joint Resolution window (May 26–June 6, 1933): the market gained 12.1%, the non-exposed portfolio 25.4%, the gold-exposed portfolio 30.9%, and the exposure-weighted portfolio 31.4%; the exposed-minus-non-exposed differential of +5.5 percentage points ($t \approx 3.0$) is the gold-specific response that the abrogation's debt relief predicts.

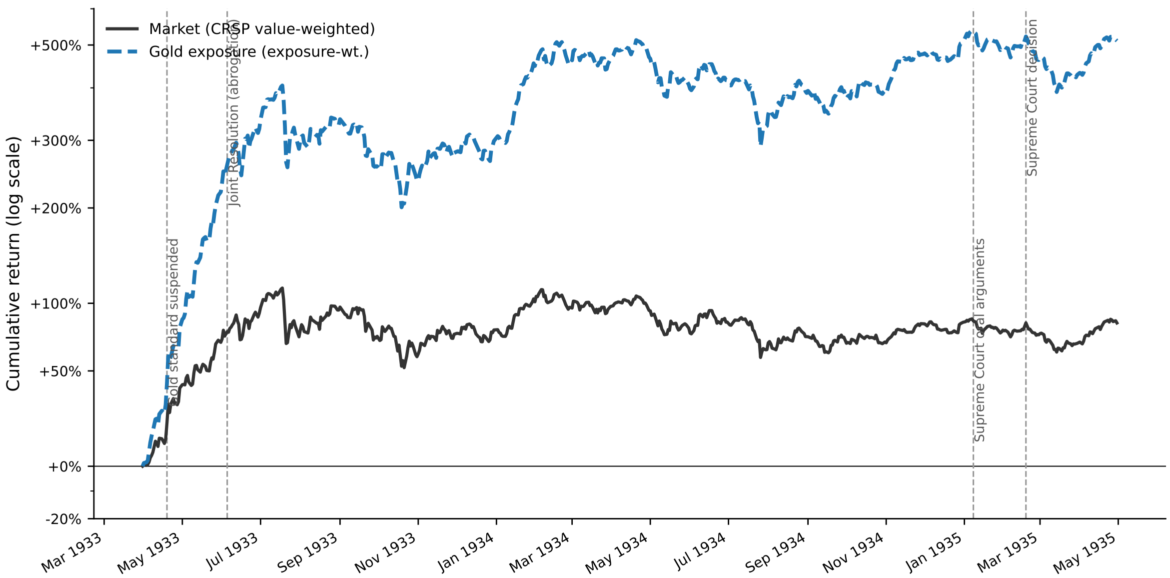
Cumulative returns of the four requested series over each event window

Event	Dates	Days	Market	No gold (equal-wt.)	Gold (equal-wt.)	Gold (exposure-wt.)
Joint Resolution	May 26–June 6, 1933	9	12.1%	25.4%	30.9%	31.4%
Cert. grant & midterm election	Nov. 5–8, 1934	3	2.1%	4.0%	7.5%	6.8%
Supreme Court oral arguments	Jan. 8–10, 1935	3	−1.3%	−1.4%	−1.3%	−1.4%
Post-argument days	Jan. 11–17, 1935	6	−3.0%	−3.3%	−4.5%	−4.6%
Supreme Court decision	Feb. 18, 1935	1	2.9%	3.2%	3.7%	3.5%

Note. Cumulative raw returns (the compound product of daily CRSP returns) over each window. The market is value-weighted by previous-day capitalization and reproduces the CRSP value-weighted index; the equal-weighted portfolios contain the 177 gold-exposed ($\tilde{d}_j > 0$) and 376 non-exposed ($\tilde{d}_j = 0$) firms; the exposure-weighted portfolio weights gold-exposed firms by $\tilde{d}_j / \sum_k \tilde{d}_k$. For the February 18 decision, the benchmark is the close of Saturday, February 16, the last trading day before the ruling.

The oral-arguments window itself is nearly flat (−1.3% market, −1.4% gold-weighted). One possible reason is that news of the government's poor showing may have reached the public only gradually—many newspapers reported on the argument sessions on January 11 and 12 (Edwards, 2018): from January 11 through January 17 the market fell a further 3.0% and the gold-weighted portfolio 4.6% (the gold-versus-non-gold differential over these days, −1.2 percentage points, is not statistically significant), with Liberty Bond prices reaching their highest level since 1917 by January 13 (New York Times, 1935). Section 3 now makes this point directly.

The referee also suggests a single full-period series with event lines. We have done two things. In the paper, the final panel of Table 1 (Panel F) now reports cumulative returns over the full episode—May 26, 1933 through February 18, 1935—in the same format as the event windows, so the full-horizon numbers appear in the main exhibit. Two features of that panel are worth stating for the referee. First, the pooled differential over the entire episode, +8.4 percentage points, is essentially the sum of the five event-window differentials (+5.5, +3.5, +0.1, −1.2, +0.5): the gold-specific repricing accrued at the identified event dates, with little net drift between them. Second, no full-horizon differential could be statistically significant under our convention—over roughly 520 trading days, one standard deviation of the cumulative differential is $\hat{\sigma}\sqrt{h} \approx 14$ percentage points—which is precisely why the analysis rests on narrow windows around identified news; the within-tercile entries of Panel F are correspondingly noisy (small firms of either group roughly tripled in value over these twenty-one months). Section 3 draws the corresponding inference: because the full-episode differential is modest, the event windows are not picking up a systematic, persistent return differential between the two groups, which reinforces the attribution of the event-window differentials to gold-specific news. For the referee, we also constructed the single full-period figure and reproduce it below. We chose not to include the figure itself in the paper: over a two-year window dominated by the 1933 reflation rally, the cumulative scale compresses the event-window movements that carry the identification, as the figure illustrates. The event-line evidence instead appears at the event level, with the event dates marked in Internet Appendix Figures IA.2–IA.5.



The figures also reveal a size pattern that we address directly rather than leave to the reader. Over the Joint Resolution window the two equal-weighted portfolios gained 25–31% while the value-weighted market gained 12%: small firms rallied far more than large firms, which could raise the concern that the exposed-minus-non-exposed differential reflects firm size rather than gold exposure. The natural check is to value-weight the two portfolios, but in this sample that comparison is dominated by a handful of firms: the five largest of the 177 gold-exposed firms carry 48% of the value-weighted gold portfolio's weight, and the ten largest carry two thirds. The value-weighted differential over the Joint Resolution window, -2.2 percentage points ($t \approx -1.3$ under the same convention), is therefore effectively a comparison of a few of the era's giants—Standard Oil of New Jersey, General Electric, and U.S. Steel among them—with their non-exposed counterparts, not a statement about the average exposed firm.

We therefore hold size fixed instead. Table 1 of the paper (reproduced below) repeats the equal-weighted comparison within size terciles formed on market capitalization at the end of 1932—before the litigation year, so that the classification cannot reflect the events themselves. This is the representation we settled on for the paper's return evidence: one table collecting all the main event windows, pooled and by size tercile, raw and beta-adjusted. In the paper we keep the reasoning brief—a footnote in Section 3 notes that value weighting would concentrate the comparison in a handful of giant firms—and give the full account here. Over the Joint Resolution window the differential is positive in all three terciles (+4.6, +4.9, and +2.4 percentage points for small, medium, and large firms), while the pooled differential remains significant both raw (+5.5, $t \approx 3.0$) and beta-adjusted (+4.2, $t \approx 2.3$); the within-tercile differentials are individually insignificant, which is unsurprising given the volatility of the period. Adjusting each differential for the portfolios' market betas leaves the small-firm differential essentially unchanged and reduces the medium and large ones. The post-argument days show the mirror image: the gold-exposed portfolio underperforms in the small and medium terciles, with essentially no differential among the largest firms. Section 3 now summarizes this evidence—the differential is strongest among smaller firms, weaker though still visible among the largest, and individually insignificant within terciles—and notes that 1933 is the most volatile year for individual stocks in the CRSP record, which makes statistical significance within subsamples hard to achieve over short windows.

One arithmetic feature of the table deserves a remark so that it does not read as an inconsistency: the pooled Joint Resolution differential (+5.5) exceeds each within-tercile differential (+4.6, +4.9, +2.4). This is a composition effect. The terciles are formed on common end-1932 market-capitalization breakpoints, and exposed firms—larger by assets but more levered, hence smaller by equity value—fall disproportionately in the small tercile (39% of exposed firms, against 31% of non-exposed firms), which earned the largest returns in the window. Roughly 4 percentage points of the pooled differential reflect the within-size differential and 2 percentage points the size-composition difference, with a small daily-rebalancing residual accounting for the remainder. The beta-adjusted pooled differential (+4.2) strips most of the composition component—the gold portfolio's higher beta largely reflects its small-firm tilt—which is why it sits close to the average of the within-tercile differentials. A footnote in Section 3 now makes this point.

Stock market responses to key legal events (Table 1 of the paper)

	Portfolio return		Differential (gold − no gold)			
	Gold	No gold	Raw	t	β-adj.	t
Panel A: Joint Resolution (May 26–June 6, 1933)						
Pooled	30.9%	25.4%	+5.5	(3.0)	+4.2	(2.3)
Small	49.0%	44.4%	+4.6	(1.2)	+4.2	(1.1)
Medium	24.8%	20.0%	+4.9	(1.5)	+2.5	(0.8)
Large	18.3%	15.9%	+2.4	(1.4)	+0.9	(0.5)
Panel B: Certiorari Grant & Midterm Election (November 5–8, 1934)						
Pooled	7.5%	4.0%	+3.5	(3.3)	+3.2	(3.1)
Small	14.6%	6.2%	+8.4	(3.7)	+8.4	(3.7)
Medium	4.7%	3.8%	+0.9	(0.5)	+0.5	(0.3)
Large	2.5%	2.4%	+0.1	(0.1)	-0.2	(-0.2)
Panel C: Supreme Court Arguments (January 8–10, 1935)						
Pooled	-1.3%	-1.4%	+0.1	(0.1)	+0.3	(0.3)
Small	-1.1%	-0.7%	-0.3	(-0.2)	-0.3	(-0.1)
Medium	-1.2%	-2.1%	+0.9	(0.5)	+1.3	(0.7)
Large	-1.7%	-1.3%	-0.4	(-0.4)	-0.1	(-0.1)
Panel D: Post-Argument Days (January 11–17, 1935)						
Pooled	-4.5%	-3.3%	-1.2	(-0.8)	-0.9	(-0.6)
Small	-4.8%	-3.1%	-1.7	(-0.5)	-1.7	(-0.5)
Medium	-5.3%	-3.5%	-1.8	(-0.7)	-1.2	(-0.5)
Large	-3.4%	-3.2%	-0.2	(-0.2)	+0.1	(0.1)
Panel E: Supreme Court Decision (February 18, 1935)						
Pooled	3.7%	3.2%	+0.5	(0.8)	+0.2	(0.3)
Small	3.3%	2.8%	+0.6	(0.4)	+0.5	(0.4)
Medium	4.6%	3.7%	+0.9	(0.8)	+0.3	(0.3)
Large	3.2%	3.0%	+0.2	(0.4)	-0.1	(-0.2)
Panel F: Full Episode (May 26, 1933–February 18, 1935)						
Pooled	125.3%	116.9%	+8.4	(0.6)	+5.0	(0.4)
Small	269.5%	281.0%	-11.5	(-0.4)	-12.4	(-0.4)
Medium	70.6%	84.1%	-13.5	(-0.6)	-19.8	(-0.9)
Large	60.6%	54.8%	+5.7	(0.4)	+1.9	(0.1)

Note. Cumulative raw returns, from daily CRSP returns, of equal-weighted portfolios of firms with ($\tilde{d}_j > 0$) and without ($\tilde{d}_j = 0$) gold-clause exposure over each event window, pooled and within size terciles formed on market capitalization at the end of 1932 (gold/non-gold firm counts: 177/376 pooled; 69/116, 51/133, 57/127 across terciles). Differentials are gold minus non-gold, in percentage points; the beta-adjusted differential subtracts $(\beta_G - \beta_N) \times R_m$, where R_m is the market return over the window and portfolio betas are estimated from daily returns over 1926–1940 (pooled: $\beta_G = 1.01$, $\beta_N = 0.90$). t-statistics scale each differential by $\hat{\sigma}\sqrt{h}$, where h is the number of trading days in the window and $\hat{\sigma}$ is the standard deviation of the daily differential over the pre-abrogation period (July 1926–December 1932). The decision-day benchmark is the close of Saturday, February 16, 1935. The November window combines the certiorari grant in *United States v. Bankers Trust Co.* with the midterm election, for which the exchange was closed.

The weaker response among the largest firms is what the mechanism predicts rather than a puzzle: the equity response to news about the value of gold-clause debt should scale with that debt relative to the value of equity, and gold-clause debt relative to market capitalization is roughly an order of magnitude larger for small exposed firms than for the largest tercile. It also parallels the investment evidence, where allowing for size heterogeneity in the aggregation yields more moderate effects among large firms (Internet Appendix Table IA.18). Within terciles the t-statistics are naturally modest, and we would caution against reading much into any single cell: 1933 is the most volatile year for individual U.S. stocks in the full century of CRSP data, and the cross-sectional dispersion of daily returns in the Joint Resolution window is more than triple its late-1920s level, so nine-day comparisons within portfolios of 51–133 firms are noisy almost by construction. The pooled differential (+5.5 percentage points, $t \approx 3.0$), which uses all firms, carries the statistical inference; the size split shows that its sign is not an artifact of the smallest firms.

The referee also suggests presenting the return analysis in a regression framework. Table 1 implements the comparison such a regression would run: the raw differential is numerically the coefficient on a gold-exposure indicator in a cross-sectional regression of event-window returns, and the beta-adjusted differential is its market-model counterpart. What we deliberately avoid is drawing *inference* from the cross-sectional dimension. Event-window returns are strongly correlated across firms, so treating the 553 firms as independent observations would understate the standard errors severely. We therefore follow the event-study tradition of Brown and Warner (1985) and scale each portfolio differential by the variability of the same differential in event-free times—the pre-abrogation daily standard deviation described above—which accounts for cross-firm dependence by construction.

On the first lawsuits and lower court rulings, new Internet Appendix Section IA.1 (Table IA.20) examines every intermediate judicial step: the first hearing on the enforceability of gold clauses (May 22–24, 1933), the lower-court rulings upholding the Joint Resolution (*In re Missouri Pacific*, June 20, 1934; the *Norman* affirmance, July 3, 1934), and the first certiorari grant (October 8, 1934). None of them produced a significant differential response (differentials of +1.4, −1.2, +0.7, and +0.7 percentage points, all with $|t| \leq 1.3$), consistent with procedural steps that confirmed the status quo being largely anticipated; a footnote in Section 3 points readers to this analysis. The size split reinforces these null results: as new Internet Appendix Table IA.20 (reproduced below) shows, none of the four judicial events produces a differential exceeding $|t| = 1.3$ in any size tercile, raw or beta-adjusted.

The examination the referee suggested also surfaced a fourth window with a significant differential, which we have now promoted into the main analysis: November 5–8, 1934 (+3.5 percentage points, $t \approx 3.3$, second only to the Joint Resolution). The window bundles two events the exchange closure on election day makes inseparable: the certiorari grant in *United States v. Bankers Trust Co.* on Monday the 5th—a petition the government itself had filed—and the midterm election on Tuesday the 6th. Two features identify the election as the driver. First, a certiorari grant raises the risk that abrogation would be overturned, so gold-exposed outperformance is the wrong sign for a reaction to the grant. Second, the size split shows the differential is entirely a small-firm phenomenon (+8.4 percentage points, $t \approx 3.7$, in the bottom tercile, against +0.9 and +0.1 in the middle and top terciles). We read the window as informative about the political dimension of the uncertainty we study: the Democratic landslide—an exceptional midterm in which the president's party gained seats in both chambers—was widely interpreted as popular ratification of the New Deal, plausibly raising the perceived durability of the abrogation. Consistent with that reading, the repricing is a gold-versus-non-gold differential *within* a size class, not a general small-firm rally, and it concentrates precisely where gold-clause debt was largest relative to the value of equity. The event now appears in Table 1, Section 3, and Internet Appendix Figure IA.3 of the paper. Section 3 states plainly that the certiorari grant and the election cannot be separated within the window; we note here, for the referee, that the window was identified in the course of this analysis rather than specified ex ante.

Intermediate legal events, by firm size

	Portfolio return		Differential (gold − no gold)			
	Gold	No gold	Raw	t	β-adj.	t
Panel A: First gold-clause hearing, Irving Trust (May 22–24, 1933)						
Pooled	8.3%	6.9%	+1.4	(1.3)	+0.8	(0.7)
Small	8.8%	6.7%	+2.1	(0.9)	+1.9	(0.8)
Medium	8.6%	7.7%	+0.9	(0.5)	-0.2	(-0.1)
Large	7.4%	6.3%	+1.2	(1.2)	+0.5	(0.5)
Panel B: In re Missouri Pacific ruling (June 20–22, 1934)						
Pooled	-5.1%	-3.9%	-1.2	(-1.1)	-0.8	(-0.8)
Small	-5.5%	-3.9%	-1.6	(-0.7)	-1.5	(-0.7)
Medium	-5.1%	-4.3%	-0.9	(-0.5)	-0.1	(-0.1)
Large	-4.7%	-3.6%	-1.1	(-1.1)	-0.6	(-0.6)
Panel C: Norman affirmed, N.Y. Ct. App. (July 3–6, 1934)						
Pooled	2.2%	1.5%	+0.7	(0.6)	+0.4	(0.4)
Small	1.6%	1.8%	-0.2	(-0.1)	-0.2	(-0.1)
Medium	2.0%	1.1%	+0.9	(0.5)	+0.4	(0.2)
Large	2.9%	1.7%	+1.2	(1.2)	+0.9	(0.9)
Panel D: Certiorari granted, Norman (Oct. 8–10, 1934)						
Pooled	2.1%	1.4%	+0.7	(0.6)	+0.6	(0.5)
Small	4.5%	2.4%	+2.1	(0.9)	+2.1	(0.9)
Medium	0.7%	1.0%	-0.3	(-0.2)	-0.5	(-0.3)
Large	0.8%	1.0%	-0.2	(-0.2)	-0.4	(-0.4)

Note. Same construction as the previous table; each window is three trading days from the event date.

One small point on last sentence page 12/top page 13. I don't think that the Liberty bond prices reflect a flight to safety. Indeed, Liberty bonds were very much part of debate since they were to be paid in gold and in the end were not due to the US leaving the gold standard (which is why some argue that this constitutes sovereign default). If anything, the high prices of Liberty bonds indicated that observations thought it likely that the government could lose the case. Either the authors provide a better explanation for the Liberty bond behavior, which is currently stated without the appropriate context or they delete the sentence. Also, the citation to the NYTimes article is missing.

Thank you for this comment. We have revised the passage to provide the appropriate context for the Liberty Bond price increase. Liberty Bonds were themselves gold-denominated government obligations, promising payment in gold at par. A government loss in the gold clause cases would have obligated the Treasury to honor that promise at the then-prevailing price of $35 per ounce—69% above the pre-abrogation level—increasing the real value of the bonds to holders. Their rising prices in January 1935 therefore reflected investor expectations that the government could lose the case. The historical background section now reads:

> "During the three days of oral arguments (January 8–10), the market reacted little—it fell 1.3%—and there was essentially no differential between exposed and non-exposed firms (Table 1). News of the government's poor showing reached the public only gradually—many newspapers reported on the argument sessions on January 11 and 12 (Edwards, 2018)—and it is as the news spread that a differential appears, modest relative to the volatility of the period and concentrated among small and medium firms: between January 11 and January 17, the market fell a further 3.0%, and gold-exposed firms fell 4.5%, against 3.3% for non-exposed firms. By January 13, the *New York Times* reported that, amid 'the speculative fever for gold,' Liberty Bond prices had reached their highest level since 1917 (New York Times, 1935). Since Liberty Bonds were themselves gold-denominated government obligations, their rising prices reflected investor expectations that the government could lose the case and be forced to honor full gold payments."

We have also added the missing citation: *New York Times*, "Gold Issue Hits Highest since 1917," January 13, 1935, p. 2.

REFERENCES

Brown, Stephen J., and Jerold B. Warner, 1985, Using daily stock returns: The case of event studies, *Journal of Financial Economics* 14, 3–31.

Edwards, Sebastian, 2018, *American Default: The Untold Story of FDR, the Supreme Court, and the Battle Over Gold* (Princeton University Press).

New York Times, 1935, Gold issue hits highest since 1917, January 13, p. 2.